Can Fin Homes

Q4FY22 Result Update | BFSI

Best-In-Class Asset Quality

DALAL & BROACHA STOCK BROKING PVT. LTD.

Equity Research Desk

3 May 2022

Can Fin Homes has reported a strong set of numbers for the quarter ended March 31, 2022. During the quarter, profitability was adversely impacted by higher opex and credit costs, which were more than offset by robust growth in loan book and NIM, resulting in a robust operating performance.

- NII came in at INR 2.37 Bn, +15.2% QoQ / +27.7% YoY and 10% above our est.
- Net Income came in at INR 2.43 Bn, +14.3% QoQ / +26.1% YoY and 9% above our est.
- Opex came in at INR 0.48 Bn, +19.4% QoQ / +12.4% YoY and 13% above our est.
- PPOP came in at INR 1.95 Bn, +13.1% QoQ / +30% YoY and 8% above our est.
- Provisions came in at INR 0.30 Bn, +85% QoQ / +295% YoY and 97% above our est.
- PAT came in at INR 1.23 Bn, +6.3% QoQ / +19.8% YoY and in line with expectations.
- EPS stood at INR 9.23 vs INR 8.69 / INR 7.70 in Q3FY22 / Q4FY21 respectively.

Valuation and outlook

We remain positive on the stock given its sovereign backing, comfortable liquidity position and robust CAR (23%). We believe Can Fin Homes will continue to quote at premium valuations as its loan book quality of 90% retail housing with negligible exposure to developer finance remains best in-class and its competitive cost of funds is on par with some banks and it is well ahead of many HFC peers. At CMP the stock trades at 2.5x its FY23E ABV and 2.1x its FY24E ABV. We maintain BUY rating with a Price Target of Rs 770/share, valuing the stock at a target multiple of 2.5x FY24E ABV.

Financial Summary

Y/E Mar (Rs Mn)	FY21	FY22	FY23E	FY24E
NII	7.98	8.16	9.74	11.82
PAT	4.56	4.71	5.62	6.97
Net worth	26.10	30.67	35.87	42.41
EPS (Rs)	34	35	42	52
P/E (x)	18.8	18.2	15.2	12.3
P/Adj BV (x)	3.5	2.9	2.5	2.1
RoA (%)	2.1	1.9	1.8	1.9
RoE (%)	19.2	16.6	16.9	17.8

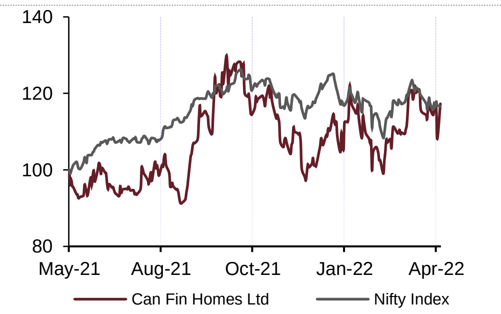
Source: Dalal & Broacha Research, Company

Rating	TP (Rs)	Up/Dn (%)
BUY	**770**	**20**

Market data		
Current price	**Rs**	**642**
Market Cap (Rs.Bn)	(Rs Bn)	86
Market Cap (US$ Mn)	(US$ Mn)	1,119
Face Value	Rs	2
52 Weeks High/Low	Rs	721 / 492
Average Daily Volume	('000)	1,669
BSE Code		511196
Bloomberg		CANF.IN

Source: Bloomberg

One Year Performance



Source: Bloomberg

% Shareholding	Mar-22	Dec-21
Promoters	9.7	9.7
Public	90.3	90.3
Total	**100**	**100**

Source: Bloomberg

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Financial Highlights

- Can Fin saw loan growth picked up pace to 6.5% QoQ/ 20.8% YoY at Rs 267.11 Bn, supported by 35% YoY growth in disbursements to INR 27.05 Bn (9.4% QoQ), while sanctions grew by 34% YoY at Rs 30.18 Bn (up 9.3% QoQ). We believe there is a good chance loan growth can surprise on the upside, especially in 23E, on multiple tailwinds such as better affordability, strong economic recovery and government incentives for home buyers.
- The large part of loan growth comes from the salaried segment, which grew by 23.2% YoY/ 6.6% QoQ, while loans to the self-employed segment up by 14.9% YoY / 6.3% QoQ.
- During the quarter, NIMs expanded by 41 bps QoQ to 4.15%, driven by the higher yield on advances, stable cost of funds and strong business momentum. It also benefited from LCR investment income by 12 bps (vs 9 bps QoQ).
- The company has increased its rate twice in the last 12 months, leading to a rise in the yield on advances from 8.05% in Q3FY22 to 8.11% in Q4FY22. Incremental cost of funds stood at 5.03% vs portfolio cost stood at 5.56%. The company expects the cost of funds to go up by 100-125 in the next four to six quarters and budgeted the same.
- With the help of SARFAESI and other recovery proceedings, the company is able to reduce its NPA pool to Rs 171 Mn, leading to a reduction in gross NPA from 0.71% in Q3FY22 to 0.64%. Restructuring pool stood at Rs 6.76 Bn (2.53% of advances) as of 31st March 2022.
- PCR stood at 53% in Q4FY22 vs 45% QoQ/ 33% YoY. The company is holding provisions worth Rs 2.70 Bn; out of which Rs 0.98 Bn is for standard assets, Rs 0.90 Bn is for NPAs, Rs 0.68 Bn is for restructured pool and Rs 0.15 Bn is additional.
- Cost to income ratio for the company increased by 85 bps QoQ to 19.8%, backed by higher opex growth of 19% QoQ vs lower net income (NII + other inc) growth of 14% QoQ. The YoY increase in opex is driven by 43% YoY (61% QoQ) increase in other expenses, while employee expenses drop by 16.6% YoY (-14.7% QoQ).

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NIMs expanded by 41 bps QoQ to 4.15%, driven by higher yield on advances, stable cost of funds and strong business momentum

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Highlights of the Conference Call

Asset Quality

- Stage 1 as on March 2022 stood at Rs 252.68 Bn, while Stage 2 stood at Rs 12.70 Bn (carrying provision worth Rs 0.34 Bn). Stage 3 as on March 2022 stood at Rs 1.70 Bn.
- The company is holding provisions worth Rs 2.70 Bn; out of which Rs 0.98 Bn is for standard assets, Rs 0.90 Bn is for NPAs, Rs 0.68 Bn is for restructured pool and Rs 0.15 Bn is additional.
- LGD for stage one is 0.33%, stage 2 is 0.76% and stage 2 is 0.79%
- The company's credit cost guidance for FY23 is ~40 bps.

Restructured Book

- The company's outstanding restructured book as on March 2022 stood at ~Rs 6.76 Bn (carrying provisions worth Rs 0.68 Bn).
- The restructured loans worth ~Rs 0.42 Bn has come down during Q4FY22 mainly due to repayment of dues by customers.
- As of now, the collection efficiency is 100% in restructured pool.

NIM & spreads

- NIM stood at 4.15% (includes 12 bps benefit of LCR investment) vs 3.74% QoQ (includes 9 bps benefit of LCR investment).
- The company's spread improved to 2.55% (vs 2.49% QoQ).
- From April 2021, the company has increased rates twice, which positively impacted NIMs.
- There was a slight increase in the cost of funds because rates started moving up from Q4FY22.
- The cost of funds stood at 5.56% (incremental is 5.03%), while portfolio yield stood at 8.11% (incremental is 8.07%).
- On a steady state, the company's spread will be ~ 2.5% and NIM will be ~ 3.75%.

Liability Mix

- The CP share has come down to ~ 11% due to the mandate that every incremental sourcing requires 25% of NCDs.
- NCD share went up to 14%, while deposits stood at 2%, NHB at ~22% and banks at ~51%.
- During Q4FY22, the company raised Rs 32.15 Bn.
- In terms of liquidity, the company is holding ~Rs 43 Bn (in form of unutilized loan sanctions).
- The last NCD was raised at 6.8%, while CP for one year tenure was raised at ~ 5%.

Efficiency with respect to either employees or the branches

- According to management, there is enough space to work on efficiency in terms of potential with respect to either employees or the branches.
- The company's average business per employee improved to Rs 299.7 Mn vs Rs 276 Mn QoQ, while the average business per branch stood at 1.36 Bn vs Rs 1.27 Bn QoQ.
- In the next 12 to 14 months, the company is opening another 10 to 12 branches.

Other highlights

- The company is seeing good demand across the country in all geographies except Delhi NCR region. In terms of incremental growth, South contributes 65%, while remaining comes from other regions. Moreover, Bangalore contributes ~23%-24% of the business.
- The company had an audit from NHP, which is not complete yet. The discussion on the same will happened in the next week and nothing abnormal has come out till now.
- The company's BT (balance transfer) out has come down drastically to Rs 2.93 Bn in FY22 from Rs 5.43 Bn FY21.
- The company booked insurance income worth Rs 60 Mn in Q4FY22
- Average LTV as on March 2022 at a portfolio level is ~ 67%.
- Average tenure of the book, on origination is 20 years and on portfolio level 18.5-19 years.
- ~3% of the portfolio constitute over Rs 50 lakhs ticket size.

Quarterly Financials

Rs Cr	Q4FY22	Q4FY21	Y-o-Y	Q3FY22	Q-o-Q
Interest income	5.56	4.61	21%	5.02	11%
Interest expense	3.19	2.75	16%	2.96	8%
Net interest income	**2.37**	**1.86**	**28%**	**2.06**	**15%**
Other Income	0.05	0.07	-19%	0.06	-15%
Net Income	**2.43**	**1.93**	**26%**	**2.12**	**14%**
Operating expense	0.48	0.43	12%	0.40	19%
PPOP	**1.95**	**1.50**	**30%**	**1.72**	**13%**
Provisions	0.30	0.08	295%	0.16	85%
PBT	**1.64**	**1.42**	**16%**	**1.56**	**6%**
Tax	0.41	0.39	5%	0.40	4%
PAT	**1.23**	**1.03**	**20%**	**1.16**	**6%**
Loan Book (Rs Cr)					
New Approvals	30.18	22.60	34%	27.62	9%
Disbursements	27.05	20.01	35%	24.72	9%
Loan Book	**267.11**	**221.05**	**21%**	**250.91**	**6%**
Loan Mx (%)					
Top up Loan	4.0%	3.6%	37 bps	3.9%	10 bps
LAP Loan	5.1%	4.6%	56 bps	4.9%	17 bps
Site Loan	0.9%	1.0%	-11 bps	0.9%	-1 bps
Other NHL	0.4%	0.4%	1 bps	0.3%	7 bps
Home Loan	89.5%	90.4%	-81 bps	89.9%	-32 bps
Asset Quality (%)					
Gross NPAs	0.64%	0.91%	-27 bps	0.71%	-7 bps
Net NPAs	0.30%	0.61%	-31 bps	0.39%	-9 bps
PCR	52.5%	33.0%	1952 bps	45.1%	746 bps
Other Ratios (%)					
Cost-to-income	19.8%	22.3%	-241 bps	19.0%	85 bps
NIM	4.2%	3.7%	46 bps	3.7%	41 bps
Return on assets	2.0%	2.0%	5 bps	2.0%	-3 bps
Return on equity	16.0%	15.7%	31 bps	15.8%	25 bps

Source: Company, D&B Research

Financials

P&L (Rs Bn)	FY21	FY22	FY23e	FY24e
Interest income	20.06	19.70	24.84	30.35
Interest expense	12.08	11.54	15.09	18.53
NII	**7.98**	**8.16**	**9.74**	**11.82**
Non-interest income	0.12	0.19	0.31	0.47
Net revenues	**8.10**	**8.35**	**10.05**	**12.29**
Operating expenses	1.24	1.53	1.76	2.03
PPOP	**6.86**	**6.82**	**8.29**	**10.27**
Provisions	0.69	0.47	0.77	0.95
PBT	**6.18**	**6.35**	**7.52**	**9.32**
Tax	1.62	1.64	1.89	2.35
PAT	**4.56**	**4.71**	**5.62**	**6.97**

Balance sheet	FY21	FY22	FY23e	FY23
Share capital	0.3	0.3	0.3	0.3
Reserves & surplus	25.8	30.4	35.6	42.1
Net worth	**26.1**	**30.7**	**35.9**	**42.4**
Borrowings	192.9	248.3	295.1	347.6
Other liability	1.7	0.5	0.5	0.5
Total liabilities	**220.7**	**279.4**	**331.5**	**390.5**
Fixed assets	0.5	0.5	0.5	0.5
Investments	0.5	11.3	6.7	3.9
Loans	218.9	263.8	314.8	378.2
Cash	0.2	3.2	8.8	7.1
Other assets	0.7	0.7	0.7	0.8
Total assets	**220.7**	**279.4**	**331.5**	**390.5**

Ratios	FY21	FY22	FY23e	FY24e
Growth (%)				
NII	22	2	19	21
PPOP	18	-1	22	24
PAT	21	3	19	24
Advances	7	20	19	20
Spread (%)				
Yield on Funds	9.4	8.0	8.3	8.6
Cost of Funds	6.4	5.2	5.6	5.8
Spread	3.1	2.7	2.8	2.9
NIM	3.7	3.3	3.2	3.3
Asset quality (%)				
Gross NPAs	0.9	0.6	0.7	0.7
Net NPAs	0.6	0.3	0.3	0.4
Provisions	34	53	50	49
Return ratios (%)				
RoE	19.2	16.6	16.9	17.8
RoA	2.1	1.9	1.8	1.9
Per share (Rs)				
EPS	34	35	42	52
BV	196	230	269	318
ABV	186	224	262	308
Valuation (x)				
P/E	19	18	15	12
P/BV	3.3	2.8	2.4	2.0
P/ABV	3.5	2.9	2.5	2.1

Source: Dalal & Broacha Research, Company

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